

ECONOMY — Poverty, Balance of Payments & Trade

Batch 6/10 · Parmar Ch.9 (full) + Lucent §3+§15 (full) + PYQ bucket "11 Foreign Trade & International Institutions" (34 Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 Poverty — Concept, Types & Measures

- Poverty → lacking financial resources/essentials for basic living standard; causes: env/legal/social/econ/political
- Types: **Absolute**(lacking food/water/shelter/clothing/healthcare/education) | **Relative**(income far below society avg) | **Subjective**(feeling poor regardless of income)
- Poverty Gap Index → measures depth of poverty (extent below line, not just headcount)
- World Poverty Clock → managed by World Data Lab, real-time global poverty estimates
- India's poverty estimation → NITI Aayog task force + NSSO data (under MoSPI); BPL = income/spending below set minimum
- Types of Poor: Usually Poor(normally BPL) | Churning Poor(in/out of poverty) | Occasionally Poor(normally above line)
- Head Count Ratio(HCR) → %population BPL = poverty headcount index = No. of multidim. poor / Total population
- ILO's 6 Basic Needs → Education, Food, Clothing, Shelter, Health Care, Safe Drinking Water
- HDI → concept by Amartya Sen & Mahbub ul Haq, introduced 1990, score 0-1 → Life Expectancy Index(long/healthy life) + Education Index(knowledge) + GNI Index(GNI per capita PPP\$, decent living)

HOOK MPI → introduced 2010 by UNDP+OPHI; 3 dimensions(Health-nutrition/child mortality; Education-schooling yrs/attendance; Living Standards-fuel/sanitation/water/electricity/housing/assets), 10 indicators. **National MPI**(NITI Aayog, Nov 2021) → 12 indicators(+antenatal care+bank account); declining since 2005-06; **24.82cr** escaped multidim. poverty in 9yrs; UP=most lifted; Bihar=highest MPI, Kerala=lowest MPI.

2 Poverty Line Committees — Chronology

Committee/Estimate	Basis → Line
Dadabhai Naoroji	"Poverty and Un-British Rule in India" → earliest estimate, ₹16-35/capita/yr; also first to estimate India's National Income
National Planning Committee(1938)	Set up by S.C.Bose, chaired J.L.Nehru → ₹15-20/capita/month
Bombay Plan(1944)	Bombay business leaders' proposal → ₹75/capita/yr
Planning Commission WG(1962)	First official Govt attempt at a poverty line
V.M.Dandekar & N.Rath(1971)	First systematic assessment(NSSO-based), expenditure-based → 2250 cal/day rural+urban
Alagh Committee(1979) ★	Chair Y.K.Alagh; nutritional+consumption-expenditure basis → Rural 2400cal→₹49.09/mo, Urban 2100cal→₹56.64/mo — 1979 = first official poverty lines ★
Lakdawala Committee(1993) ★	Household per-capita consumption expenditure; CPI-IW+CPI-AL → recommended state-specific poverty lines, calorie basis retained; extended estimation to states ★
Tendulkar Committee(2005, rep.2009) ★	PPP-based(₹33/day); moved away from calorie model; broadened basket incl. private health/education; replaced URP with MRP(30-day food/365-day non-food recall) → 2011-12: Rural ₹816/mo, Urban ₹1,000/mo; overall poverty 21.9%(Rural25.7%,Urban13.7%)

Rangarajan Committee(2012, rep. June2014) ★	3 basket components(food/essential non-food/behavioural non-food) incl protein/fat; Mixed Modified Reference Period → Rural ₹972/mo, Urban ₹1,407/mo; recommended raising both lines further — decision pending, so Tendulkar line remains official ★
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6 official poverty committees since Independence: Planning Commission WG(1962) → Dandekar&Rath(1971) → 1979 Task Force(Alagh) → Lakdawala(1993) → Tendulkar(2009) → Rangarajan(2014).

DOUBT BPL%(2011-12) conflict: Rangarajan = 30.95% rural/26.4% urban vs Tendulkar(official) = 25.7%/13.7% (IE 4Jul2015+ES2015-16); separately ~22% Indians BPL(25.7% rural/13.7% urban per RBI, FE 21Sept2019) — both figures preserved.

3 Poverty Trends & State-wise Data

- 2004-05 → 407mn poor(37.2% BPL; Rural41.8%,Urban25.7%) → 2011-12 → 270mn poor(21.9%)
- Decline rate: 0.74%/yr(1993-94→2004-05) vs 2.4%/yr(2004-05→2011-12) — sharper post-2004
- State-wise(2011-12): highest poverty → Chhattisgarh(39.9%)/Jharkhand(37%)/Bihar(33.7%) | lowest → Goa(5.09%)/Kerala(7.1%)

HOOK World Bank Spring2025 Poverty & Equity Brief: extreme poverty(\$2.15/day) 16.2%(2011-12)→**2.3%**(2022-23), 171mn lifted (Rural18.4%→2.8%, Urban10.7%→1.1%); \$3.65/day line 61.8%→28.1%(378mn lifted; Rural69%→32.5%,Urban43.5%→17.2%; gap narrowed 25→15pts, ~7%/yr decline); MPI poverty 53.8%(2005-06)→16.4%(2019-21)→15.5%(WB measure, 2022-23); revised(2021 PPP) rates: 5.3% extreme, 23.9% lower-middle-income; Gini index 28.8(2011-12)→25.5(2022-23). PEBs = WB publication, twice/yr(Spring+Annual Meetings), 100+ developing countries; benchmarks \$2.15/\$3.65/\$6.85.

Employment trends(WB, since 2021-22) → growth outpaced working-age pop, esp. women; urban unemployment fell to **6.6%**(Q1 FY24/25, lowest since 2017-18); first male rural→urban migration shift since 2018-19; rural female agri-employment growth; rising self-employment.

4 Indian Economy — Structural Characteristics (Lucent §3)

- **Agrarian** → 54.6% pop in agri/allied(Census2011) but only 17.8% of GVA(2019-20, per INDIA2023)
- **Mixed Economy** → public+private blend, post-liberalisation trending capitalist/market-oriented
- **Developing** → structural unemployment("employed"=273 days/yr @8hrs, as defined); low savings; lacks modern industrialisation
- **2nd most populous** → 2001-11 growth 17.69%, ~1.85cr added/yr; 2011 pop=121.07cr = 17.5% world pop on just 2.42% world land
- Sector defs: Primary(extraction)/Secondary(manufacturing)/Tertiary(services) → best development indicator = per capita income
- Development factors: natural resources, capital gain, skilled labour, agri surplus sale, social organisation, political freedom, freedom from corruption, tech knowledge+education
- WPI → 3 groups: primary articles, fuel & power, manufactured products

5 Balance of Payments — Structure

- BoP → record of all economic transactions, country↔rest of world = **Current Account + Capital Account**
- Current Account → Visible(physical goods/tangible) + Invisible(services/intangible) + Transfer Payments(unilateral, remittances/aid)
- Capital Account → FDI/FPI + External Assistance/Deposits/Borrowings + Other Flows
- India = top global remittance receiver; Mexico 2nd
- **FDI** → long-term, ≥10% equity in foreign physical asset (eg Walmart-Flipkart) | **FPI/FII** → short-term financial-asset investment, <10% equity(stocks/bonds/MFs/NRI deposits)
- FDI limit, defence sector(enhanced 2020) → 74% Automatic route, up to 100% Government route

- Current Account Deficit → imports>exports; incl trade balance/net foreign income/foreign aid/net current transfers
- Twin Deficit → simultaneous current account deficit + fiscal deficit

Current account surplus/deficit/balance ★ [B]: receipts>payments=**surplus**(net lender); payments>receipts=**deficit**; receipts=payments=**balanced**. ★ Statement pair ★ [B]: Imports=leakage from circular flow(↓ aggregate demand, TRUE); Exports= injection into circular flow(↑ aggregate demand, TRUE) — both correct.

6 1991 BoP Crisis & Reforms

- BoP/currency crisis → can't pay essential imports/repay foreign debt; India 1991, PM P.V.Narasimha Rao, FM Manmohan Singh → LPG model response
- India approached IMF + World Bank(via IBRD) for \$7bn loan; conditions = SAP(privatisation/trade liberalisation/fiscal discipline/FDI opening)
- Rupee devalued in 2 stages, July 1991, cumulative ~18-20% vs USD ★; objective = cheaper exports/discourage imports/boost forex inflow
- Rupee fully convertible on Current Account → 1994(RBI, IMF Article VIII), 19 Aug 1994 specifically ★
- Current Account Convertibility = trade-transaction freedom | Capital Account Convertibility = capital-transaction freedom (partially convertible in India, RBI-regulated)
- Tarapore Committee → constituted 1997 by RBI(reviewed 2006), chair S.S.Tarapore → examined CAC feasibility; phased roadmap preconditions = low fiscal deficit/controlled inflation/strong banking(low NPAs)/stable financial system

HOOK 1991 crisis facts ★ [B, all PYQ-tested]: by June 1991 India left with only **\$1.1bn forex** = sufficient for just 2 weeks of imports(petroleum/essential goods) ★. Shortage = **foreign exchange**(not water/electricity/labour) ★. A-R: India approached IMF+WB 1991 for bailout(TRUE) — because forex declined to ~2-weeks-import level(TRUE, correct explanation) ★. Immediate measure = **rupee devaluation**(not import restriction/revaluation/fixed exchange rate) ★. Primary cause = govt's inability to repay foreign borrowings(fiscal deficit+forex debt+Gulf War oil prices+inflation) — NOT natural disaster/state-govt inefficiency/illegal migration ★. Primary reason for 1991 reforms = BoP crisis(not high GDP growth/overpopulation/agri stagnation) ★. A-R: devaluation improved export competitiveness(TRUE) — weaker rupee made Indian goods cheaper globally(TRUE, correct explanation) ★. Late-1980s: India approached **IBRD**(World Bank's main institution) for the crisis ★.

Currency conversion needed to buy from US ★ [B]: Rupee not legal tender in US, seller only accepts Dollar — based on int'l trade rule requiring reserve currency for foreign-goods import. FII role in reforms ★ [B]: invest in India's financial markets(stock/bond) → linked Indian markets globally post-1991, ↑ capital availability.

7 Forex Reserves, IMF/World Bank & Bretton Woods

- Forex reserves → central bank/monetary-authority assets, import cover+shock protection; 4 components = FCA, Gold, SDRs("Paper Gold"), Reserve Tranche Position in IMF(higher quota=higher voting power)
- SDR basket currencies: USD, Euro, Yen, Yuan, Pound
- Bretton Woods Conference 1944(UN Monetary & Financial Conference) → 44 nations, 730 delegates → created IMF + World Bank("Twin Orgs"), HQ Washington DC; also created IBRD → system collapsed 1971(US suspended gold convertibility)
- IMF: established 27 Dec 1945(Bretton Woods) → began functioning 1 Mar 1947; 188 members(2017); promotes financial/economic cooperation+world trade
- IBRD → established 1945; with IFC+IDA+MIGA = "World Bank"; capital investment+long-term balanced development
- India ranks 8th in IMF voting power; Top IMF borrowers: Argentina, Egypt, Ukraine, Pakistan, Ecuador
- Washington Consensus → 10 free-market policy prescriptions(John Williamson, 1989) for crisis-prone developing nations(Latin America); promoted by IMF/WB/US Treasury: privatisation/deregulation/trade liberalisation/fiscal discipline
- IMF major reports: World Economic Outlook, Global Financial Stability Report, Fiscal Monitor, External Sector Report

Statement check ★ [B]: unlimited convertibility+fixed-price conversion instability→↓ currency credibility(TRUE); int'l monetary system's PRIMARY objective = ensure global payment/exchange stability(NOT regulate internal fiscal/tax policy — statement FALSE) ★. Low forex reserves critical problem ★ [B]: India could barely afford essential imports for a very short time(not investment attractiveness/printing/travel-related distractors) ★.

8 Exchange Rate Mechanisms & Currency Terms

- NOSTRO("our") → domestic bank's foreign-currency a/c in foreign bank | VOSTRO("your") → foreign bank's domestic-currency a/c in domestic bank
- FERA(1973) → simplify forex system; violation=criminal offence; abolished(rigid rules hindered growth) → replaced by FEMA(1999) → enhances forex reserves, promotes trade/payments; violation=civil offence(decriminalised)
- Depreciation(market fall)/Appreciation(market rise) → under **Floating** Exchange Rate | Devaluation(govt-induced fall)/Revaluation(govt-induced rise) → under **Fixed** regime
- Exchange rate evolution: 1928-48 pegged to Pound Sterling → post-1948(IMF system) pegged to USD(Fixed) → 1975 delinked from Pound → 1992 LERMS(dual rate) → 1993 fully Market-Determined/Floating
- NEER → weighted avg vs trade-weighted currency basket, no inflation adjustment | REER → NEER adjusted for inflation, real external competitiveness
- Currency types: Hard(stable, USD/Euro), Soft(weak/unstable), Hot(moves quickly for short-term profit), Heated(high demand/speculation), Cheap(depreciated), Dear(appreciated)
- Lorenz Curve → income/wealth distribution graph, measures inequality; Gini Coefficient 0(perfect equality)-1(perfect inequality)

9 Tax Evasion, Money Laundering & Anti-Avoidance

- BEPS → Base Erosion(shell cos across jurisdictions, ↓ taxable profit in high-tax jurisdiction) + Profit Shifting(moving eroded profits to low/no-tax jurisdiction eg Cayman Islands/Bahamas)
- Round Tripping → domestic black money sent abroad → brought back as FDI via shell cos/tax havens to appear legitimate
- FATF → HQ Paris, founded July 1989(G7); global AML/terror-financing standards
- 3 Stages of Money Laundering: Placement(illegal funds enter system) → Layering(concealing origin) → Integration(funds absorbed into economy)
- Shell Company → paper-only entity, holds assets/routes funds/hides ownership
- MAT → Section 115JB, Income Tax Act 1961; min tax when normal liability <15% of "book profit"(per Companies Act 2013 calc); applies to all domestic/foreign cos; prevents "zero-tax" profitable cos

10 Trade Policy — Pre/Post 1991 & FTAs

- 1947-1990 trade policy = **Import Substitution**(inward-looking, protect domestic industry, high tariffs/quotas, avg import duty>125%, govt licence mandatory) ★ [B: also described as "closed economy policy", self-reliance via local manufacturing ★]
- Tariff Measures → import taxes, export taxes | Non-Tariff Measures → anti-dumping measures + Technical Barriers to Trade(TBT)/labeling/quality standards ★ [B: both count as non-tariff, tested as combined answer ★]
- Bilateral trade agreement goal → promote free trade between 2 countries(reduce/eliminate customs duties/quotas) ★ [B, reinforced]
- FTA(eg BIMSTEC) → reduce trade barriers, boost economic cooperation
- First EPZ(India&Asia) → Kandla, Gujarat, 1965 ★ [B: objective=earn forex/promote exports/develop industrial infrastructure, reinforced]
- FIPB → constituted under PMO(initially chaired by Principal Secretary to PM); single-window FDI clearance; moved DIPP→DEA; abolished 2017 ★ [B, reinforced]
- MEIS → launched 1 April 2015, FTP2015-20; replaced by RoDTEP from 1 Jan 2021 ★ [B, reinforced]
- EOU min investment → ₹1 crore in plant & machinery(mandatory for EOU status, entire production must be exported) ★ [B, reinforced]
- Kaladan Multimodal Transit Transport Project → links India(Kolkata port) → Myanmar(Sittwe port) → Mizoram by road; bypasses "Chicken's Neck" ★ [B, reinforced]

DOUBT A-R ★ [B]: Pakistan's Positive-List→Negative-List move under SAFTA challenged by India(TRUE, violation) — **Article 23 of SAFTA** relates to **Dispute Settlement**, NOT unilateral tariff reservations/political-ground restrictions(Reason statement FALSE).

1947-1990 India's import approach = import substitution to protect domestic industries(not promoting imports for competition/luxury-goods focus/unrestricted imports) ★ [B, reinforced]. Trade policy prior to 1991 = high tariffs and quotas(not free trade/import liberalization/FDI) ★ [B].

SAARC Currency Swap Framework(2024-27) [B] → RBI short-term liquidity to SAARC nations during forex crises. BIMSTEC Technology Transfer Facility [B] → MoA signed 5th BIMSTEC Summit, Colombo, 30 March 2022; BIMSTEC itself established 6 June 1997(Bangkok Declaration), originally BISTEC(Bangladesh-India-SriLanka-Thailand), now 7 members(+Myanmar,Thailand,Nepal,Bhutan).

11 Trade History — Colonial to 1990s (Lucent §15)

- Ancient Indian trade highly developed; British East India Co(1600) → trade favoured India till 1757
- British imposed heavy cloth duty to destroy Indian industry; post-Industrial-Revolution Britain flooded markets w/ cheap goods → colonisation
- British cotton monopoly → costlier raw material for Indian weavers → handloom business ruined by 1813; late-19th century power-machine textile industries emerged
- Pre-independence trade = colonial principles | Post-independence = inward-looking/import-replacement policy
- India's world-trade share: 1.78%(1950) → 0.6%(1995, persisting through 1997-98 per ES2001-02) → FY2019-20: 18th-largest exporter(1.7% share, INDIA2021), 10th-largest importer(2.6% share, INDIA2020)

12 BoP & Trade Performance — FY2023-24

- CAD → 0.7% of GDP(2023-24) vs 2%(2022-23); merchandise trade deficit fell USD265.3bn→242.1bn; Net FDI inflows declined USD42bn(2022-23)→26.6bn(2023-24)
- India global trade(goods+services) = USD1,631.97bn(2023-24); total exports USD778.22bn; total imports USD853.75bn
- Merchandise Exports → ranked 17th globally(1.8% share, WTO2023); 2023-24 = USD437.11bn(from 451.07bn) on geopolitical tensions; top categories: petroleum products19.25%, drug formulations/biologicals4.97%, pearls/precious stones4.33%, telecom instruments3.95%, gold/jewellery3.05%; top destinations: USA17.74%, UAE8.15%, Netherlands5.12%, China3.81%, Singapore3.3%
- Merchandise Imports → ranked 8th globally(2.8% share); 2023-24 fell 5.66% to USD675.43bn(from715.97bn); top categories: crude petroleum20.71%, gold6.74%, petroleum products5.89%, coal/coke5.76%, electronics5.09%; top sources: China15.06%, Russia9.10%, UAE7.11%, USA6.04%, SaudiArabia4.71%
- Services Trade → 7th exporter(4.4% share), 9th importer(3.4% share); exports2023-24=USD341.11bn(+4.85%), imports=USD178.32bn(down); combined trade deficit=USD75.53bn(2023-24) vs 121.62bn(2022-23)
- Trade Agreements → 14 FTAs + 6 Preferential Trade Agreements; latest India-EFTA TEPA, signed March 2024

Global Perspective(IMF WEO Oct2023): global growth 3.5%(2022)→3.0%(2023e)→2.9%(2024e), below 2000-19 avg 3.8%; advanced economies 2.6%→1.5%→1.4%; EMDEs 4.1%→4.0%→4.0%; global inflation 8.7%(2022)→6.9%(2023)→5.8%(2024).

13 FTP 2023, SEZs & Red Sea Crisis

- FTP2023 → launched April 2023; blueprint for global integration; incentive→tax-remission shift; "Aatmanirbhar Bharat"/"Local goes Global"; targets USD2 trillion exports by 2030
- SEZs → Asia's first EPZ at Kandla 1965; 7 more EPZs followed; SEZ Act 2005(w/ Rules) effective 10 Feb 2006; 8 pre-existing EPZs(Kandla&Surat-Gujarat, SantaCruz-Maharashtra, Cochin-Kerala, Chennai-TN, Visakhapatnam-AP, Falta-WB, Noida-UP) converted; primarily private-investment driven; 275 operational SEZs as of June 2023(166 IT/ITES + 109 multisector)

TRAP Red Sea Crisis(Jan-Feb 2024) → Suez transits fell **42-49%** from peak; container tonnage via Suez fell **82%**, Cape of Good Hope tonnage rose **60%**; **80%** of India-Europe merchandise trade routes via Red Sea(crude oil/auto/textiles/steel affected) — don't confuse the two %-drop figures (transits vs container tonnage).

14 FDI Policy, Limits & Flows

- FDI routes: **Automatic**(no prior approval) | **Government**(prior approval mandatory)
- Space-sector FDI amendment(21 Feb 2024) → 100% FDI allowed: ≤74% Automatic(satellite mfg/operation/data products/ground-user segment, above→Govt); ≤49% Automatic(launch vehicles/spaceports, above→Govt); ≤100% Automatic(component mfg)
- Net FDI fell 55.2% to \$9.69bn(Apr-Dec2023) from \$21.63bn(Apr-Dec2022); RBI(Feb2024): inflows \$19.23bn/outflows \$9.54bn(Apr-Dec2023) vs inflows \$32.68bn/outflows \$11.05bn(Apr-Dec2022); greenfield FDI projects 156(2022)→174(2023)

Sector(examples)	FDI Limit / Route(as on 14.11.2020)
Agriculture	100% Automatic
Defence	100% — 74% Automatic, above→Government
Insurance	100% Automatic
Banking-Private	74%
Banking-Public	20% Government
Multi-Brand Retail	51% Government
Print Media	26% Government

15 Trade Composition & External Sector — FY25

- Imports → Bulk(POL+non-POL) + Non-bulk(capital goods, pearls, other); structural shift since 1951: ↑ capital-goods/raw-material imports, ↓ foodgrain/consumer-goods imports(self-sufficiency)
- Exports 4 categories: Agri&allied, Ores&minerals, Manufactured goods, Mineral fuels&lubricants — agri share declining, manufactured rising over years
- External Sector(ES2024-25) → exports(Apr-Dec FY25)=USD602.6bn(+6%; +10.4% excl petroleum/gems); imports=USD682.2bn(+6.9%); forex reserves USD640.3bn(end-Dec2024), ~90% of external debt(USD711.8bn, Sept2024)
- Global trade(UNCTAD Dec2024): merchandise export/import indices +3.5%/3% YoY(Q3 2024); services +7.9%/6.7%; global trade → ~USD33 trillion(2024)
- India trade trend(Apr-Dec FY25): exports USD602.6bn(+6%), imports USD682.2bn(+6.9%); trade deficit USD69.7bn→79.5bn YoY; non-petroleum exports+7.1%; sectoral growth: pharma+6.4%, electronics+28.6%, engineering+9.9%, chemicals+5%, textiles+7.6%; merchandise exports+1.6%, imports+5.2%; merchandise trade deficit widened to USD210.8bn(from189.7bn)

Textile Exports → India=6th-largest global exporter; 2.3% GDP, 13% industrial production, 12% exports, 45mn+ employed; 2023 exports USD34bn(apparel42%, raw/semi-finished34%, finished non-apparel30%); Europe+US=66% apparel/58% finished non-apparel/12% raw materials; MMF=77% global fibre consumption(2024) vs cotton22%; India's MMF share=9.2% global.

Export diversification(1994-2022) → top exporter of shipping vessels(~33% share); leading iron/steel-alloy exporter(unexplored pre-1994). E-commerce exports → global B2C

USD5.7trillion(2022)→8.1trillion(2026E); India's B2C USD83bn(2022)→150bn(2026E); e-commerce exports ~USD4-5bn(FY23)→projected 200-300bn by 2030. Ease-of-doing-business → National Logistics Policy logistics hubs; paperless e-BRC saves >₹125cr/yr on 2.5mn e-BRCs; DGFT's 'Trade Connect e-Platform'.

16 BoP, FDI & Forex — Economic Survey 2024-25

- BoP stable(resilient services exports, benign crude, FPI/FDI revival); CAD moderated to 1.2% GDP(Q2FY25) vs 1.3%(Q2FY24); merchandise trade deficit USD75.3bn(Q2FY25) vs 64.5bn(Q2FY24)
- FDI → gross inflows USD47.2bn(first8mo FY24)→55.6bn(FY25, +17.9%); cumulative FDI(Apr2000-Sept2024) >USD1trillion(USD1,033.4bn per DPIIT); sector-wise H1FY25: Services19.1%, computer software/hardware14.1%, trading9.1%, non-conv energy7%, cement/gypsum6.1%; net FDI first8mo: FY25=USD0.48bn vs FY24=8.5bn; full-yr FY24 net FDI=10.1bn, FY23=19.8bn

- Forex reserves → FCA+gold+SDRs+RTP in IMF; crossed USD700bn then moderated to USD640.3bn(end-Dec2024), ~90% external-debt cover; India ranks 4th globally(after China, Japan, Switzerland); 2024 increase USD27.1bn; \$688bn as of April2025
- 17 Exchange Rate, Inflation & Outlook (ES 2024-25)
- INR → market-determined(no target/band); factors: Dollar Index, capital flows, interest rates, crude prices, CAD; INR depreciated 2.9%(first9mo FY25 to 6Jan2025) — better than CAD's 5.4%, KRW's 8.2%, BRL's 17.4%
 - Euro = official currency of 20/27 EU states("Eurozone")
 - Global inflation(IMF WEO Jan2025): peaked 8.7%(2022)→5.7%(2024); India's retail inflation 5.4%(FY24)→4.9%(FY25 Apr-Dec); food=~2/5 of CPI basket; core inflation fell 0.9pts; WPI deflation(-0.7%, FY24)
 - RBI MPC(Dec2024): FY25 inflation projection revised 4.5%→4.8%; expects 4.2%(FY26); IMF projects 4.4%(FY25)/4.1%(FY26); World Bank(Oct2024): commodity prices ↓5.1%(2025)/1.7%(2026)
 - Medium-term outlook: IMF WEO(Oct2024) projects India USD5trillion economy by FY28, USD6.307trillion by FY30; MoSPI first advance estimate: FY25 growth 6.4%(constant prices)
- HOOK** Geo-Economic Fragmentation(since 1980s) → global trade 39%→60% of world GDP(1980→2012); global FDI inflows USD54bn(1980)→>1.5trillion(2019); world economy USD11trillion(1980)→>100trillion(2022, nominal); extreme poverty 42%(1981)→8.4%(2019); global population 4.4bn(1980)→8bn(2022), urbanisation 39%→57%; internet penetration ~0(1980)→5.3bn/66%(2022).
- 18 Export Credit, Rupee/Gold Data & Trade Organisations
- NIRVIK Scheme → by ECGC; full name = Export Credit Insurance Scheme(ECIS); covers ≤90% principal+interest, pre+post-shipment credit
 - Rupee exchange rate(29 May2025): 1USD=₹85.44, 1GBP=₹115.07, 1Euro=₹96.27
 - RBI Gold Reserve → added ~58 tonnes FY25(data 5May2025); total=879.59 tonnes(26t added H2FY25); gold ≈12% of forex reserves(up from 9.32% Sept2024 to 11.70% end-March); 348.62t held w/ BoE/BIS, 18.98t as gold deposits; 58.20% held locally(March-end) vs 59.72%(Sept2024); domestic storage rose 38%→59% since March2023
 - GATT → came into being 30 Oct1947, functioning 1 Jan1948; equal-tariffs policy, removing quantitative bans, democratic dispute resolution
 - WTO → took GATT's place 1 Jan1995; HQ Geneva; 164 members(April2018); India founder member; promotes free+fair trade, no arbitrary restrictions(only rule-based protective measures)
 - India-ASEAN Trade in Goods Agreement → signed 13 Aug2009, effective 1 Jan2010; created one of world's largest FTAs(~1.8bn people, combined GDP ~USD2.75trillion)
- A-R ★ [B]: WTO encourages free/fair trade(TRUE) — but does NOT allow arbitrary restrictions, only limited protective measures under rules(Reason FALSE, since R claims WTO allows arbitrary restrictions) ★. IMF promotes liberal economic reforms via SAP conditions(privatisation/trade liberalisation/fiscal discipline/foreign investment opening); India implemented LPG reforms under these 1991 conditions ★.
- 19 India's Global Rankings (2024-25 Indices)
- | Index | India's Rank/Score | Top |
|--|--------------------|--|
| International IP Index2024(22Feb2024) | 42nd/55(38.64%) | US1st(95.48%),UK2nd(94.12%),France3rd(93.12%) |
| HDR2023-24(UNDP,13Mar2024) | 134th/193(0.644) | Switzerland |
| Global Corruption Perception Index2024(TI,11Feb2025) | 96th/180(38) | Denmark(90); most corrupt: SSudan(180)/Somalia(179)/Venezuela(178) |
| Economic Freedom of World2025(Fraser) | 128th/176 | Singapore/Switzerland/Ireland; bottom: Venezuela/Cuba/NKorea |

Global Peace Index2024(IEP,18th ed,163 countries)	116th(2.319)	Iceland/Ireland/Austria/NZ/Singapore; bottom: Yemen(163rd)/Sudan/SSudan/Afghanistan/Ukraine
WEF Gender Gap Index2024(June2024)	129th/146(was 87th-2016)	Iceland/Finland/Norway/NZ/Sweden; worst5: Sudan(146)/Pakistan(145)/Chad(144)/Iran(143)/Guinea(142)
World Happiness Report2025	118th/147	Finland/Denmark/Iceland/Sweden/Netherlands; bottom: Zimbabwe/Malawi/Lebanon/SierraLeone/Afghanistan(147th)
Global Innovation Index2024(WIPO,133 economies)	39th(38.3, up from 81st-2015)	1st in region, 2022
Global Hunger Index2024	105th/127(27.3)	alongside Uganda

20 Top-10 World Economies 2025

Rank	Country	GDP(Forbes India, 28Apr2025)
1	USA	\$30.51T
2	China	\$19.23T
3	Germany	\$4.74T
4	India	\$4.19T
5	Japan	\$4.19T
6	UK	\$3.83T
7	France	\$3.21T
8	Italy	\$2.42T
9	Canada	\$2.23T
10	Brazil	\$2.13T

21 PYQ-only Extras

1991 devaluation cumulative % ★ [B]: 18%(as answer option, matches Parmar's 18-20% range). Non-tariff measure = BOTH anti-dumping measures AND TBT/labeling/quality standards ★ [B].